Northstar Commercial Rules

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1. Principles

Northstar records, calculates and documents money for each business; it never holds funds, and every tax rule here must be reviewed by a chartered accountant before launch.

1. **Every accepted price is tied to one quote version.** Prices on a sent quote never change.
2. **Every rupee is a ledger entry.** Amount due is calculated, never typed.
3. **Paid means Razorpay says paid.** No screenshot, message, AI output or manual tick marks a payment paid (a staff-recorded cash payment is a separate, audited entry type, if enabled).
4. **Financial documents are never deleted.** Corrections happen through new versions, cancellations and credit notes.
5. **Money is integers.** All amounts in paise; tax computed per line and rounded once, by a fixed rule.
6. **Commitments need permission.** Discounts above limit, refunds and cancellations after payment always need a human.

2. Catalogue, prices and tax settings

Catalogue prices are stored exclusive of GST; tax is added per line at quote time from the item's rate.

Business tax profile (set in onboarding)

Field	Rule
GSTIN	15 characters, format-validated; first two digits must match the state code
Legal name, address, state code	Printed on every document

Field	Rule
Registration type	Regular / composition / unregistered; composition and unregistered businesses get a "bill of supply" or plain receipt instead of a tax invoice (CA to confirm wording)
Invoice prefix	Up to 6 characters, e.g. `RLR`
Financial year start	1 April (Indian FY)

Catalogue item

Field	Rule
Name, description	Shown on quote and invoice
Unit price	Paise, exclusive of GST
HSN/SAC	Required for registered businesses
GST rate	One of the configured rates; since 22 September 2025 the main slabs are 0, 5, 18 and 40% ([Tally](https://tallysolutions.com/gst/new-gst-rate-structure/)). Default 18%, as most services fall there; the business confirms per item
Active	Inactive items can't be added to new quotes; existing quotes unaffected

The GST rate list itself is configuration, not code, because rates and slabs can change.

3. Quotes

A quote is a series of immutable versions; the client can accept only the latest sent version, and that acceptance fixes the price for everything that follows.

Version rules

- Lines are copied from the catalogue at creation (name, price, HSN/SAC, rate); later catalogue edits don't touch the quote.
- Any change (line, quantity, price, discount, validity) creates version n+1; the previous sent version becomes Superseded.

- Statuses: Draft → Needs Review (approval mode) → Sent → Accepted | Changes Requested | Superseded | Expired.
- Validity: default 7 days from sending (configurable); after it, the version expires and the client is offered a refreshed quote.

Discounts

Rule	Default
Applied as	Percentage or fixed amount, on the quote total before tax (pro-rated across lines for tax)
Staff limit	10% without admin approval (configurable)
Above limit	Admin approval required in both modes
AI	May never offer or agree to a discount

Acceptance

- Through the Accept button on WhatsApp (button ID carries the version ID) or by staff recording a verbal acceptance (logged with who and when).
- Acceptance on a superseded or expired version is refused and the latest version re-sent.
- Accepted version → payment plan created: advance and balance amounts fixed at this moment.

Quote numbering: `Q-{prefix}-{FY}-{sequence}-v{version}`, e.g. `Q-RLR-2026-27-0042-v2`. Quote numbers are not tax documents and may skip.

4. Payment ledger

Each payment request and each payment received is its own ledger row; the amount still due on a lead is always derived from the accepted quote and the paid rows.

```
\text{amount due} = \text{accepted quote total (incl. GST)} - \sum
\text{paid} + \sum \text{refunded}
```

Payment kinds

Kind	Amount	When created
Full	Quote total	On acceptance, when advance is off
Advance	Quote total × advance %, rounded to the nearest rupee	On acceptance
Partial	Whatever the client paid below the requested amount	From `payment_link.partially_paid`
Balance	Amount due at the moment the work is marked done	On In progress → done
Fee / instalment	Per template (coaching)	Per schedule

Statuses: Pending → Paid | Partially paid | Failed | Expired; after payment: Refund due | Partially refunded | Refunded.

Rules

- Advance % is fixed when the quote is accepted; changing the setting later does not affect accepted quotes.
- A client paying more than due → excess flagged Refund due for admin; never kept silently.
- Only one active (pending) payment link per lead at a time; creating a new one expires the old link at Razorpay first.
- Cash or bank transfer received outside Razorpay (if the business enables it): staff records it with a reference and attachment; admin-only; audited; appears as kind `manual`.

5. GST documents and tax calculation

The product flow says "invoice after payment", but under GST an advance for a service not yet delivered is usually documented with a receipt voucher, and the tax invoice follows the service; the CA must confirm which documents each business issues and when.

Proposed document set (pending CA review)

Moment	Document	Notes
Advance received, service not yet done	Receipt voucher	Shows advance amount and tax on it
Service delivered / job done	Tax invoice for the full value	Adjusts advance already taxed; balance shown due
Full payment received after delivery	Tax invoice (if not already issued)	
Cancellation / refund after a tax invoice	Credit note	References the original invoice
Refund of an advance with no invoice	Refund voucher	References the receipt voucher
Composition or unregistered business	Bill of supply / plain receipt	No GST charged

The engine supports all six document types from the same template system; which ones a business uses is a setting.

Numbering

- Separate consecutive series per document type, per business, per financial year (1 April – 31 March).
- Format: `{prefix}/{FY}/{sequence}`, e.g. `RLR/26-27/0042`; kept within the 16-character limit for invoice numbers (CA to confirm).
- Sequence row locked in the same transaction as the document insert: no gaps, no duplicates; a cancelled invoice keeps its number.

Tax calculation

1. Line taxable value = qty × unit price − pro-rated discount (paise).
2. Supplier state = business state code; place of supply = client's state (from billing address; for location-bound services such as on-site shoots the CA confirms whether the event location applies).
3. Same state → CGST and SGST at half the rate each; different state → IGST at the full rate.
4. Tax per line = taxable × rate, rounded half-up to the paise; for CGST/SGST, CGST gets the half rounded down and SGST the remainder, so they always sum to the line tax.

5. Document total = Σ taxable + Σ tax; optional "round off" line to the nearest rupee, shown separately.

Mandatory fields on every tax document: supplier name, address, GSTIN; document number and date; client name and address (and GSTIN if registered); place of supply; per line description, HSN/SAC, quantity, taxable value, rate and tax amounts; totals; signature or digital signature field.

6. Invoice lifecycle and credit notes

Once issued, an invoice changes only its payment status; any correction to its content is a credit note plus, if needed, a new invoice.

Status	Meaning	Allowed next
Draft	Generated, not yet numbered or sent (approval mode)	Issued, discarded
Issued	Numbered, PDF stored, sent to client	Partially paid, Paid, Overdue, Cancelled
Partially paid	Some payments applied, amount due > 0	Paid, Overdue, Cancelled
Paid	Amount due = 0	Credited (partly or fully)
Overdue	Due date passed, amount due > 0	Paid, Cancelled
Cancelled	Withdrawn by a full credit note	Terminal

Rules

- Drafts carry no number; numbering happens at issue, so discarded drafts leave no gaps.
- Issued invoices are never edited or deleted (no update grant on content columns).
- Wrong amount, wrong client details or cancellation → credit note for the affected value, then a fresh invoice if the sale continues.
- Credit note: own number series; references the original invoice number and date; reason required; PDF generated from the business template.
- Due date: default 7 days after issue (configurable); Overdue triggers balance reminders.

7. Cancellation and refunds

Each business sets a cancellation policy as time bands; the system calculates the refund from the band and the owner approves before any money moves.

Policy format (example default, editable per business)

Cancelled before start	Refund of amount paid
48 hours or more	100%
24–48 hours	50%
Under 24 hours or no-show	0%
Business cancels (staff unavailable, etc.)	100%, always

Refund flow

1. Cancellation confirmed by staff → refund calculated from the policy snapshot stored on the `refunds` row.
2. Owner/admin reviews; may approve, change the amount (reason required) or reject.
3. Approved → Razorpay refund API → status Processing → `refund.processed` webhook → Processed.
4. Documents: credit note if a tax invoice was issued; refund voucher if only a receipt voucher exists.
5. Ledger updated; amount due recalculated; client notified on WhatsApp with the amount and expected timeline.

Rules

- Refunds only go back to the original Razorpay payment; never to a different account.
- A refund larger than the amount paid is impossible (validated).
- Failed refund → owner alerted; can retry or record a manual refund with reference.

8. Payment collection automation

Reminders run on fixed schedules per payment kind and stop the moment the payment lands, the client opts out, or staff pause them.

Situation	Automation (defaults)
Advance link sent, unpaid	Reminder 12 h before expiry; expiry at 24 h; one fresh link after expiry
Payment failed	Fresh link once; staff alerted after a second failure
Partial payment	Link for the remainder sent immediately
Balance due after work	Link at once; reminders day 1, 3, 7; escalation to staff after day 7
Invoice overdue	Same as balance reminders; status Overdue
Refund requested	Owner approval request; reminder to owner after 24 h

All reminder texts are approved WhatsApp utility templates, since most fall outside the 24-hour window.

9. Worked example: a Reelrr booking

A car reel shoot with editing, a 5% discount and a 50% advance ends at ₹44,840 total, collected as two payments of ₹22,420; these figures double as a test fixture.

Quote v2 (accepted): client in the same state as Reelrr, so CGST + SGST.

Line	SAC	Price (₹)	Discount 5% (₹)	Taxable (₹)	CGST 9% (₹)	SGST 9% (₹)	Line total (₹)
Car reel shoot	per business	30,000	1,500	28,500	2,565	2,565	33,630
Editing and delivery	per business	10,000	500	9,500	855	855	11,210
Total		**40,000**	**2,000**	**38,000**	**3,420**	**3,420**	**44,840**

The discount is within the 10% staff limit, so no admin approval is needed. Out of state, the same quote carries IGST 18% = ₹6,840 instead.

Sequence

1. v1 sent at ₹40,000 + GST; client asks for a better price → Negotiating.

2. Staff sends v2 with 5% off; client taps Accept → payment plan fixed: advance ₹22,420, balance ₹22,420.
3. Advance link ₹22,420 sent; paid → receipt voucher: taxable ₹19,000 + tax ₹3,420 (if the CA confirms receipt vouchers for advances).
4. Shoot and editing done → tax invoice `RLR/26-27/0042` for ₹44,840, showing ₹22,420 received, ₹22,420 due.
5. Balance link ₹22,420 sent; paid → invoice status Paid; lead Completed; Meta Purchase event value ₹44,840.

If the client cancels 30 hours before the shoot (after paying the advance): policy band 24–48 h → 50% refund = ₹11,210; owner approves; Razorpay refund; refund voucher against the receipt voucher.

10. Chartered accountant review checklist

These points need a CA's sign-off before the commercial module goes live with paying clients.

- [ ] Documents for an advance on services: receipt voucher vs tax invoice, and timing of the final invoice
- [ ] Place of supply for location-bound services (on-site shoots, home services) when client and event states differ
- [ ] Invoice, receipt voucher and credit note numbering format and length
- [ ] Rounding rule per line and the round-off line
- [ ] CGST/SGST split when the line tax has an odd paisa
- [ ] Documents for composition and unregistered businesses
- [ ] Credit note vs refund voucher for each cancellation case
- [ ] Mandatory fields and signature on generated PDFs
- [ ] Record-keeping period for financial documents
- [ ] E-invoicing (IRN) thresholds that would make a client business ineligible for the MVP
- [ ] GST on Northstar's own subscription invoices to businesses